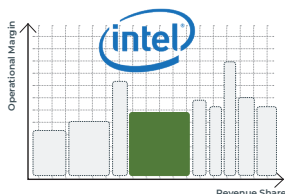


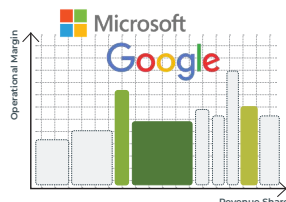
Here is how we can go about collecting data for different activities.

The first step to analyse is:



Identifying the 'pure' players carrying out only a particular activity.

The activity profitability can be estimated by aggregating the profits of pure players.



Then the mixed players are identified, i.e. those who perform many different activities.

Estimates are taken on each activities size and profits based on disclosures.

Each company's financial data and disclosures are disaggregated to arrive at estimates for each specific activity.

By combining data from pure players as well as mixed players, an estimate of the size and profitability of activities is established. The profit pool is then analysed. The questions below need to be looked into.

- why have the profit pools formed where they have?
- Are the forces that created these pools likely to change?
- Will new and more profitable business models emerge?

Such questions allows for lot of new business opportunities. The shape of the profit pool is usually complex and reflects the competitive dynamics of the industry. Even very competitive industries with generally low profitability can have certain activities with high profitability. However, the profitability of any particular activity in the pool may vary with customer group, product category, geographical market, and distribution channel.

Thus, carrying out a profit pool analysis allows us to understand how profit is distributed and which activity areas.